

Defensibility Matrix

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Differentiation × switching cost

PROFESSIONAL DEFINITION

The Defensibility Matrix maps an AI offering by its degree of differentiation against the switching cost it creates, distinguishing commodity features from genuine moats.

WHO DEVELOPED IT

A synthesis from competitive-strategy practice applied to AI products.

WHY IT WAS DEVELOPED

It was developed to test quickly whether an AI product is defensible or merely a replicable feature.

FIGURE 1 · DEFENSIBILITY MATRIX

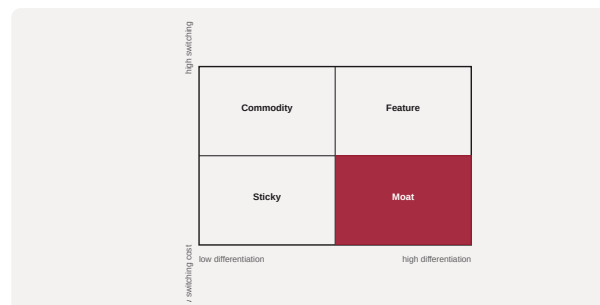


Figure 1. A schematic of the Defensibility Matrix as applied in BARBM312 (illustrative).

HOW IT IS USED

An offering is placed by differentiation and switching cost; only the high-high quadrant constitutes a moat worth defending.

WHEN IT IS USED

During product and investment strategy for AI.

BY WHOM IT IS USED

Founders, product and investment leaders.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It distills defensibility into two decisive axes, complementing the fuller 7 Powers analysis with a quick diagnostic.

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SOURCES (HARVARD REFERENCING STYLE)

Porter, M.E. (1985) Competitive Advantage. New York: Free Press.

Helmer, H. (2016) 7 Powers. Deep Strategy.